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US Equity Strategy | North America

Weekly Warm-up: Stay Bullish While Acknowledging the Risks

Earnings momentum, positive operating leverage and cash tax savings are underappreciated tailwinds, in our view. We lean more toward our bull case (7200) by the middle of next year. While there should be some consolidation during 3Q, we think dips are meant to be bought.

- Stay Bullish While Acknowledging the Risks...**EPS revisions breadth continues to accelerate higher (now +7%), helping to confirm our constructive view on the earnings backdrop post the Liberation Day capitulation. An underappreciated aspect of the earnings story into 2026 is that positive operating leverage is returning due in part to lower wage costs, and it may be further enhanced by AI adoption. We're also not hearing a significant level of concern from corporates in terms of tariff-related costs impacting margins thus far, though we could hear more about this risk in 3Q. With earnings on solid footing into next year and the Fed closer to cutting rates, valuations can remain supported around current levels (~22x) as we think about the 12-month outlook. **Bottom line, we're leaning more toward our bull case of 7200 for the S&P 500 by the middle of next year.**
- Trades to Focus on...**In our view, it's too early to rotate to small caps and lower quality stocks with back-end rates still elevated. Further, large cap earnings revisions continue to accelerate relative to small cap revisions. Thus, we maintain our preference for large caps and higher quality stocks for now despite some recent froth in lower quality names. Within cyclical, Industrials continues to be our top sector pick as relative EPS revisions remain strong and structural drivers should be supportive. We remain underweight Consumer Goods, which is the main area of the market exposed to the combination of tariff costs and weaker pricing power. Finally, we reiterate our preference for US equities over international equities as earnings revisions in the US materially outpace those in international developed markets.
- What Are the Risks?** While we're bullish on a longer-term time horizon as mentioned, we think it's worth flagging the near-term risks for stocks that could lead to some consolidation or a modest correction in 3Q. First, the 10-year yield tested 4.50% last week, the point at which rate sensitivity tends to increase for equities based on our analysis. A break above this level could lead to underperformance of lower quality, rate-sensitive areas (i.e., small caps and higher leverage stocks). Second, while we've seen limited signs of inflation pressure from tariffs so far, tariff-related cost pressures may be forthcoming this quarter or next as higher cost inventory starts to flow through to the income statement. Such a development could pressure margins near-term and/or show up in higher inflation readings. The latter

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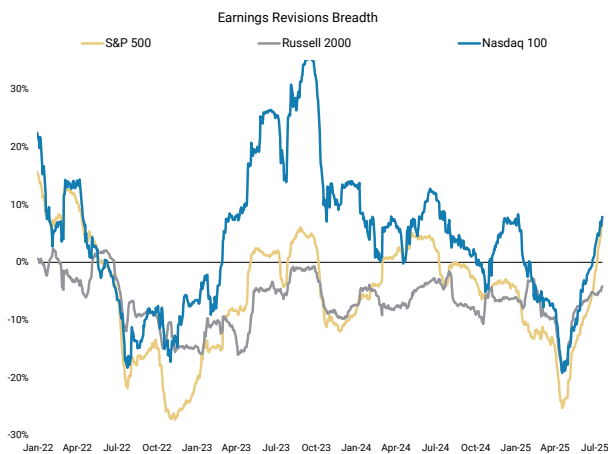
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may affect the market's perception of how quickly the Fed could shift its stance to rate cuts, a dynamic that could be compounded if we see softer payroll data *and* stickier inflation prints. Finally, seasonals tend to soften in the second half of July into August based on ~100 years of history. It's important to note that we think these risks are (1) temporary and (2) only likely to lead to modest consolidation in price—**we're buyers of dips.**

Stay Bullish While Acknowledging the Risks

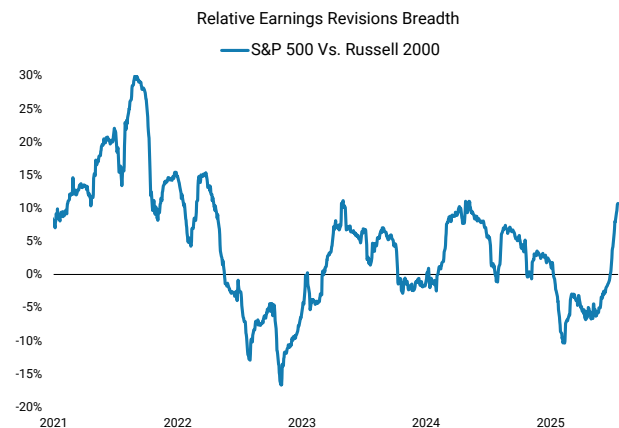
S&P 500 EPS revisions breadth continues to accelerate higher (now +7%, up from -25% in April), helping to confirm our constructive view on the earnings backdrop post the Liberation Day capitulation. This trend is being led by large cap indices as [Exhibit 1](#) shows. Large cap vs. small cap relative earnings revisions breadth is accelerating and is supportive of our stance on staying up the cap/quality curves. Meanwhile, dispersion of earnings revisions is picking up into the bulk of the quarter ([Exhibit 3](#)). This is typical and suggests we're now in a strong stock picking environment. At the country level, the US continues to show relative strength from a revisions standpoint as Europe and Japan continue to lag on this basis ([Exhibit 4](#)). This dynamic is being aided by the weaker dollar, which is a tailwind for US relative EPS trends—a key reason why we prefer the US on a relative basis. The DXY is down about 10% from the January highs and has another 7-8% to go into the middle of next year according to our FX strategists. This should offer further support for US relative earnings revisions versus rest of world. Between retail sales and the Philadelphia Fed Manufacturing survey, macro data last week also appeared to suggest that the demand backdrop is holding up better than many expected.

Exhibit 1: Earnings Revisions Breadth Continues to Rebound

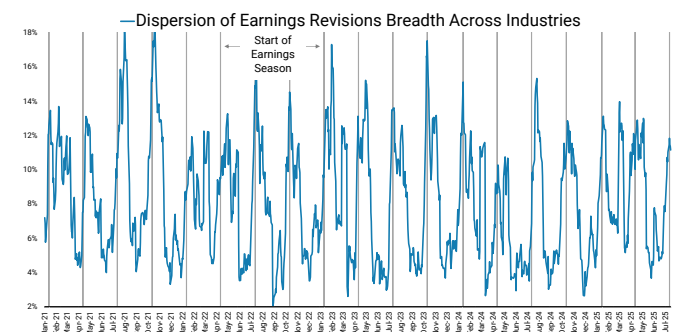


Source: FactSet, Morgan Stanley Research.

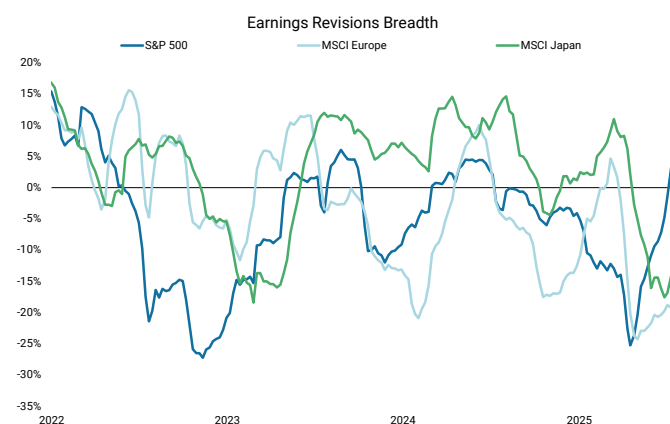
Exhibit 2: Large Caps Showing Relative Strength from A Revisions Standpoint Vs. Small Caps



Source: FactSet, Morgan Stanley Research.

Exhibit 3: Dispersion of EPS Revisions Picking Up

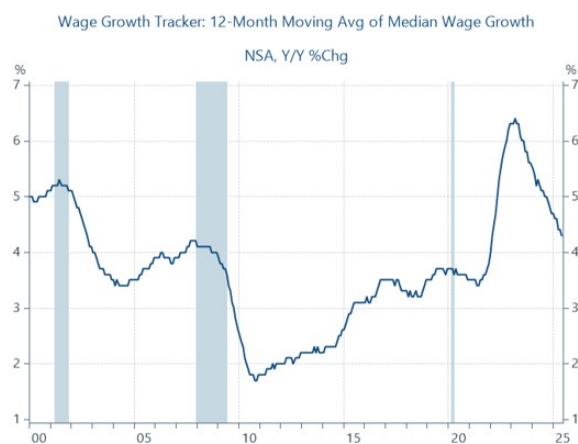
Source: FactSet, Morgan Stanley Research.

Exhibit 4: US Earnings Revisions Meaningfully Outperforming Europe and Japan

Source: FactSet, Morgan Stanley Research.

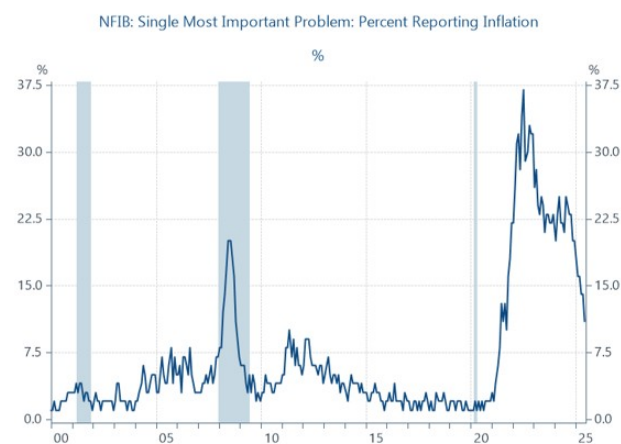
An underappreciated aspect of the earnings story into 2026 is that positive operating leverage is returning from lower wage costs (in part). As previously [discussed](#) this is driving upside in our earnings models. Thus far, we're also not hearing a significant level of concern from corporates across the index in terms of tariff-related costs impacting margins. [Exhibit 5](#) shows that wage costs continue to decline in rate of change terms, and [Exhibit 6](#) illustrates that corporates are actually getting less concerned about inflation despite tariff-related impacts. While we acknowledge this could change in 3Q, so far, the majority of the impact has been felt in Consumer Goods where we're underweight. With earnings on solid footing into next year for the overall market and the Fed set to cut rates 7 times through YE 2026 (according to our economists), we think valuation will also remain supported around current levels (~22x). In fact, our regime [analysis](#) suggests that index-level multiples rarely contract when EPS growth is above average and the fed funds rate is down on a year-over-year basis—our house views by the middle of next year.

Bottom line, we're leaning more toward our bull case of 7200 for the S&P 500 by the middle of next year.

Exhibit 5: Wage Growth (an Important Input Cost) Is Decelerating

Source: Federal Reserve Bank of Atlanta/Haver Analytics

Source: Haver, Morgan Stanley Research.

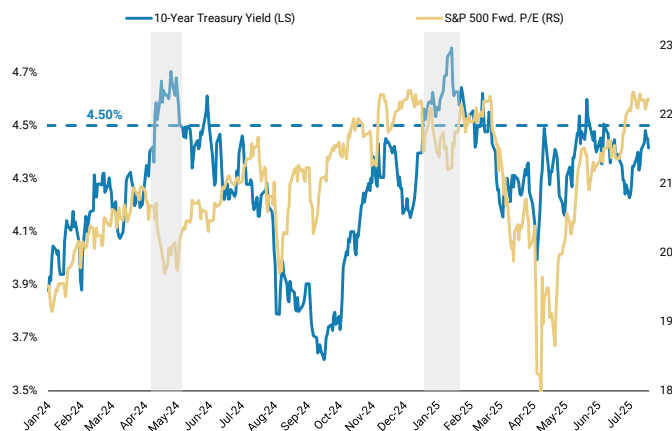
Exhibit 6: So Far, Businesses Are Not Expressing Increased Levels of Concern Related to Inflationary Pressures

Source: National Federation of Independent Business/Haver Analytics

Source: Haver, Morgan Stanley Research.

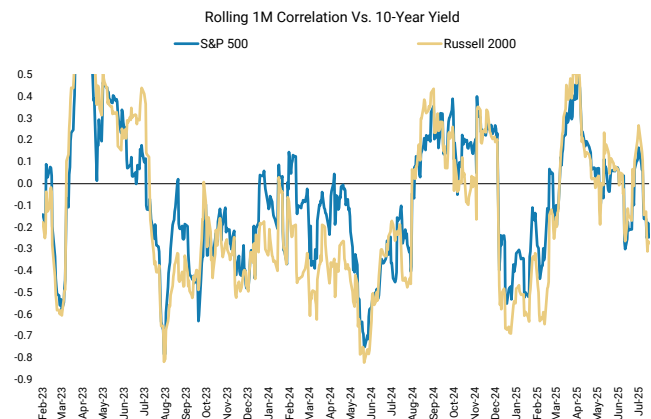
While we're bullish on a longer-term time horizon as mentioned, we think it's worth flagging the near-term risks for stocks that could lead to some consolidation or a modest correction (i.e., ~mid/high single digit percent range) in 3Q. First, the 10-year yield tested 4.50% last week, which is the point at which rate sensitivity should increase for stocks based on the historical pattern over the last year and a half ([Exhibit 7](#)). A break above could lead to underperformance for rate-sensitive areas, in particular. [Exhibit 8](#) shows that both the S&P and the Russell are currently negatively correlated to yields, but small caps are exhibiting slightly greater sensitivity. Second, while we've seen limited signs of inflation pressure from tariffs so far, tariff-related cost pressures may be forthcoming this quarter or next as higher cost inventory starts to flow through to the income statement. Such a development could pressure margins near-term and/or show up in higher inflation readings. The latter may affect the market's perception of how quickly the Fed could shift its stance to rate cuts, a dynamic that could be compounded if we see softer payroll data and stickier inflation prints. Finally, seasonals tend to soften in the second half of July into August based on ~100 years of history ([Exhibit 9](#)). It's important to note that we think these risks are (1) temporary and (2) only likely to lead to modest consolidation in price—**we're buyers of dips.**

Exhibit 7: Equities Have Shown Rate Sensitivity with 10Y Yield Above 4.50% Threshold



Source: Bloomberg, FactSet, Morgan Stanley Research.

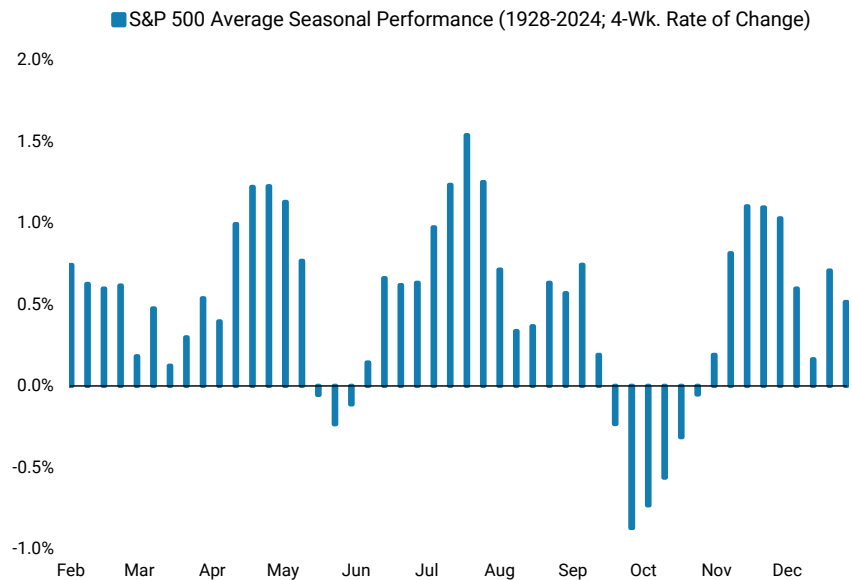
Exhibit 8: Equity Return Vs. Bond Yield Correlation Is Now Negative, Indicating Greater Rate Sensitivity



Source: Bloomberg, Morgan Stanley Research.

Exhibit 9:

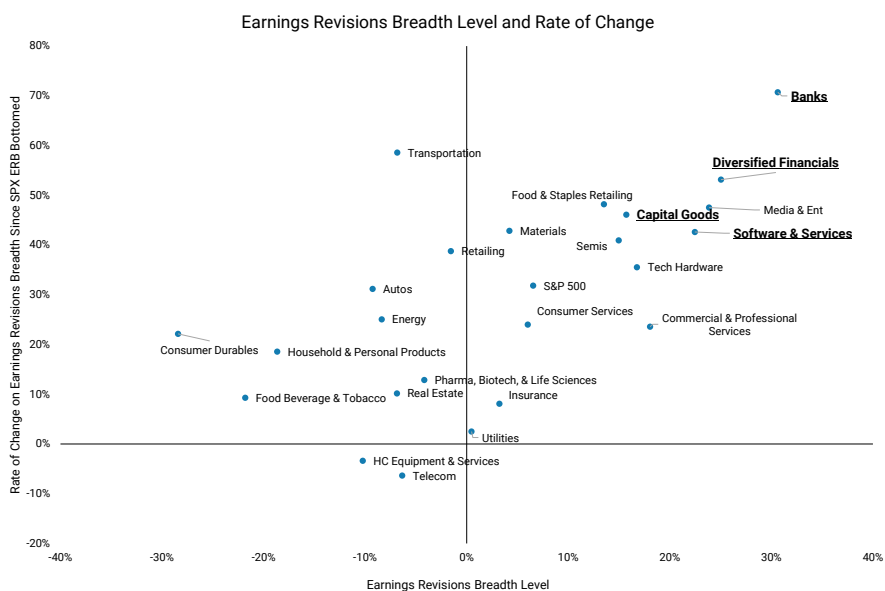
Seasonals Are Now Less Supportive into August



Source: Bloomberg, Morgan Stanley Research.

As alluded to above, we think it's too early to rotate to small caps and lower quality stocks with rates still elevated. We expect this transition to come later this year, but think it comes closer to Fed cuts. Within cyclicals, we prefer Industrials (top pick) and Financials which are both showing strong EPS revisions. [Exhibit 10](#) points out that these areas of the market possess relative earnings revisions strength from both a level and rate of change standpoint. As our Banks research team [showed](#), relative performance for large cap banks has been mixed T+1-day after reporting so far, though we have continued to see further upside progress in both 2025 and 2026 EPS estimates post reporting. Further, hedge fund net exposure to the Financials sector is in the bottom 10th percentile, and relative forward P/E and price/book ratios for large cap Banks are both in the bottom 30th percentile of historical levels back to 2010. Within Tech, we prefer Software which is also showing durable relative revisions and relative performance thanks to its limited exposure to tariffs and positive EPS exposure to dollar weakness. We remain underweight Consumer Goods as noted, which is the main area of the market exposed to the combination of tariff costs and weaker pricing power.

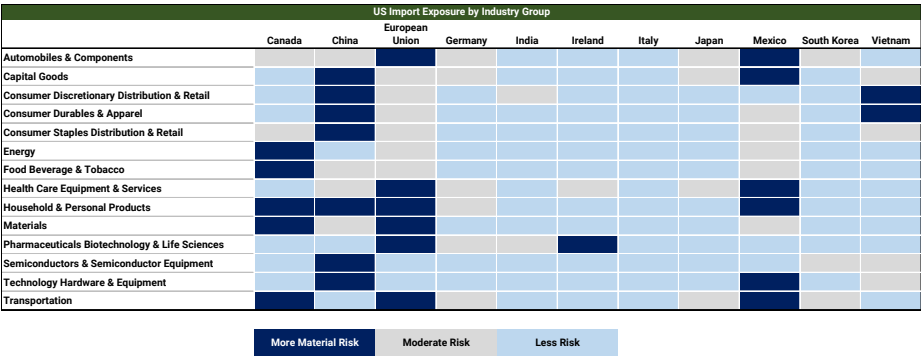
Exhibit 10: Relatively Strong Level + Rate of Change on Earnings Revisions Breadth Is A Powerful Combination



Source: FactSet, Morgan Stanley Research.

Lastly, we continue to get questions on tariffs and tax. On tariffs, related commentary was less prevalent last week. Arguably the most notable news we received was from Treasury Secretary Bessent on Monday who sought to reassure investors that they shouldn't worry about the August 12th tariff deadline with China as the US and China are in a "very good place" ahead of negotiations. Last week, we flagged that a scenario involving significantly higher tariff rates on China would be one of three potential trade-related risks that equity indices would react adversely to. The others we discussed were an adjustment of the USMCA exemption and Section 232 tariffs on semis, in particular. [Exhibit 11](#) details tariff cost exposure by industry group and shows that the vast majority of tariff announcements thus far actually are likely to have a fairly limited impact on S&P 500 cost structures, in aggregate, given the countries/regions in scope and the exemptions seemingly still in place (i.e., the USMCA exemption). Finally, we find it interesting and encouraging that import prices have fallen off the past few months, including from China. We think this suggests exporters to the US may be discounting product prices to help offset some of the tariff costs to the importer and/or US consumer. This development supports our long standing view that tariffs will be a shared cost between exporter, importer and consumer—an outcome that is very manageable, in our view, and not nearly as negative as others have been suggesting.

Exhibit 11: US Import Exposure by Industry Group



Source: AlphaWise Web Intelligence, UN Comtrade, Morgan Stanley Research. Dark blue shading in the body of the table represents more material risk (for a given industry, import exposure is greater than 15% of the global total). Grey shading in the body of the table represents moderate risk (for a given industry, import exposure is between 5%-15% of the global total). Light blue shading in the body of the table represents less risk (for a given industry, import exposure is less than 5% of the global total).

Exhibit 12: Import Prices Have Been Falling, Including Those from China

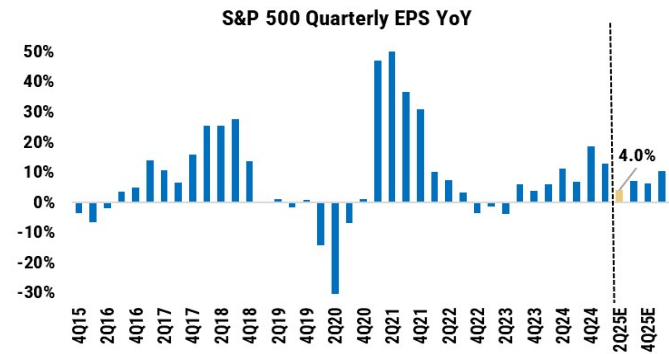


Source: Bloomberg, Morgan Stanley Research

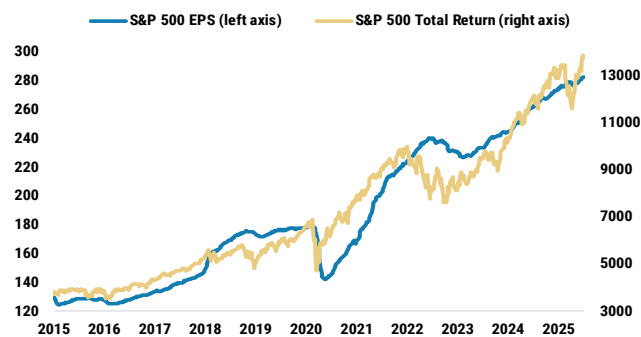
On tax, we continue to think the cash tax savings benefits from the OBBBA are underappreciated. As discussed last week, we think there's scope for the cash tax rate to decline from 20% to 13%. Much of this is driven by upfront R&D expensing and bonus depreciation, though additional tailwinds tied to the FDII deduction and potentially lower Digital Services Taxes are also worth noting. Bottom line, this tax bill is positive for US large cap equity indices.

Weekly Charts to Watch

Exhibit 13: US Earnings Snapshot
S&P 500 Y/Y EPS Growth



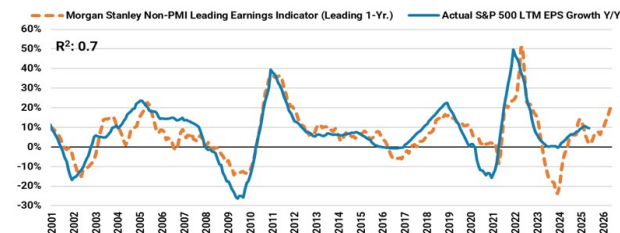
S&P 500 NTM EPS vs. Total Return Level



US Leading Earnings Indicator



US Non-PMI Leading Earnings Indicator

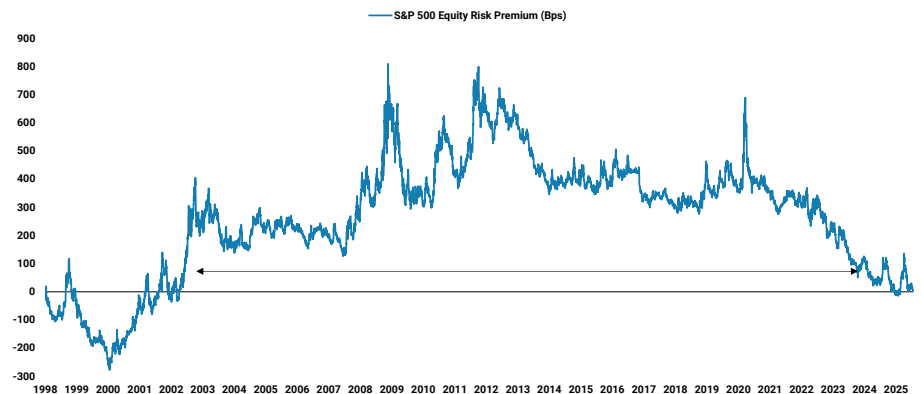


Source: Refinitiv, FactSet, Morgan Stanley Research. Top: As of July 17, 2025. Bottom left as of May 31, 2025. Bottom right as of May 31, 2025. The LEI is a top down macro indicator consisting of the Inventory/Sales ratio, ISM Manufacturing PMI, ISM Manufacturing Employment PMI, Consumer Confidence and credit spreads. MS Non-PMI Leading Earnings Indicator inputs: Philadelphia Fed economic activity, Creighton U. business confidence, Chicago Fed supplier deliveries, Atlanta Fed wage tracker (inverse signal), NFIB small bus. most important problem inflation (inverse signal), and Brave-Butters-Kelley cycle component of monthly GDP. Weightings are fixed over time.

Exhibit 14: Sector Ratings

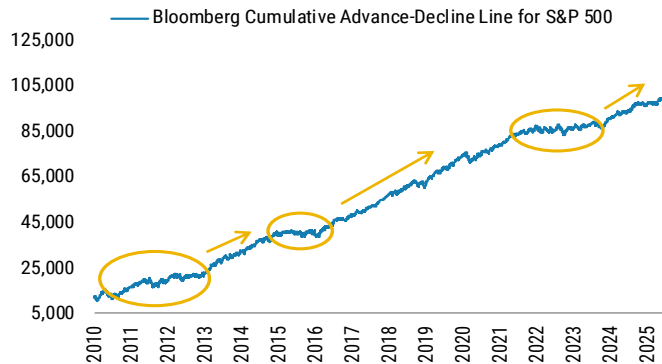
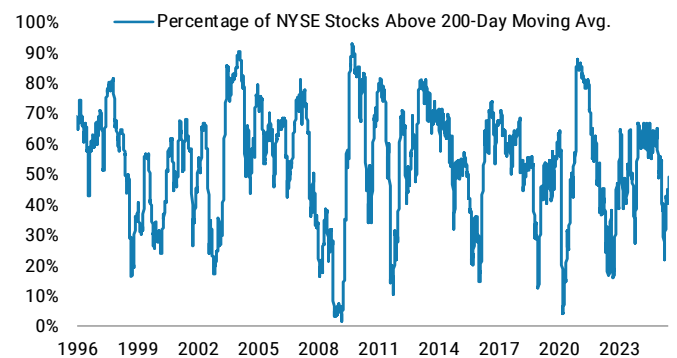
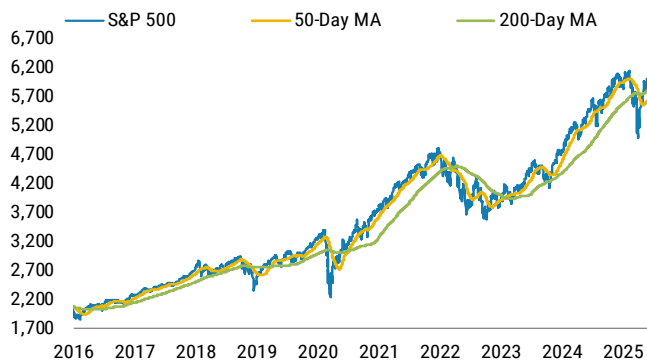
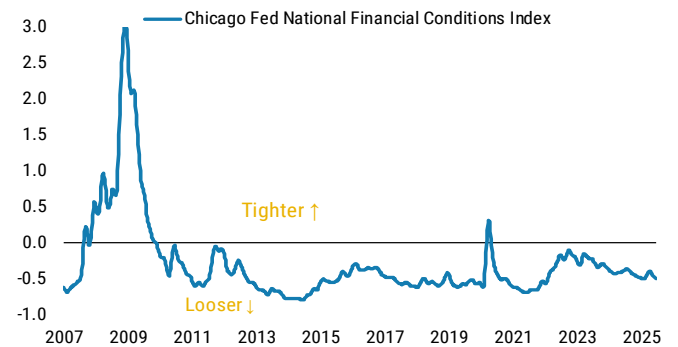
Morgan Stanley Sector Recommendations			
Overweight	Financials	Industrials	Energy
Neutral	Consumer Services	Comm. Services	Health Care
	Materials	Real Estate	Tech
	Utilities		
Underweight	Consumer Discretionary Goods		
	Staples		

Source: Morgan Stanley Research

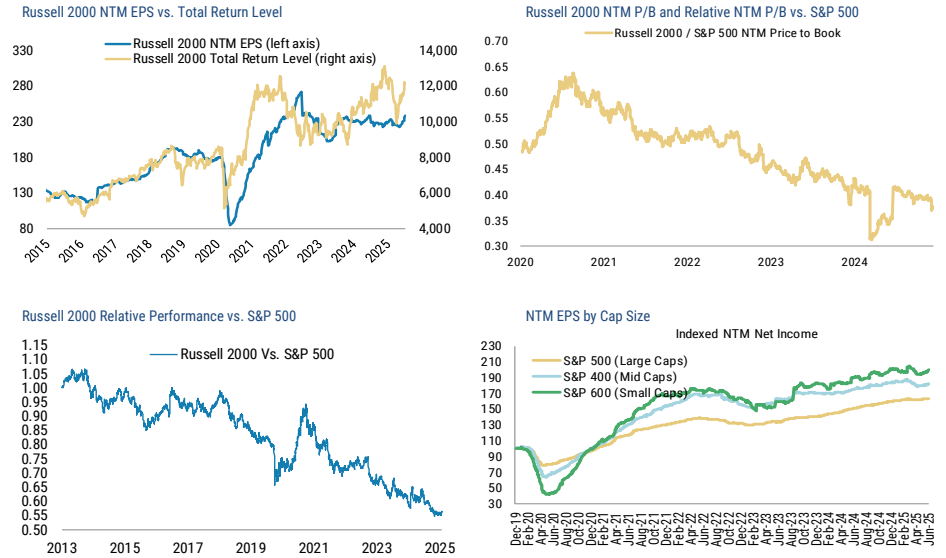
Exhibit 15: Equity Risk Premium

Note: Equity risk premium is calculated as the S&P 500 forward 12M earnings yield minus the nominal 10-Year Treasury.

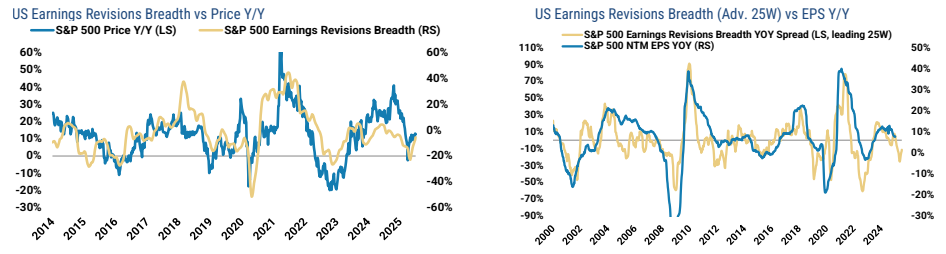
Source: As of July 17, 2025. Bloomberg, Morgan Stanley Research

Exhibit 16: US Equity Market Technicals and Financial Conditions**S&P 500 Advance/Decline Line****S&P 500 Percent Members Above 200-Day Moving Average****S&P 500 with Moving Averages****Chicago Fed National Financial Conditions Index**

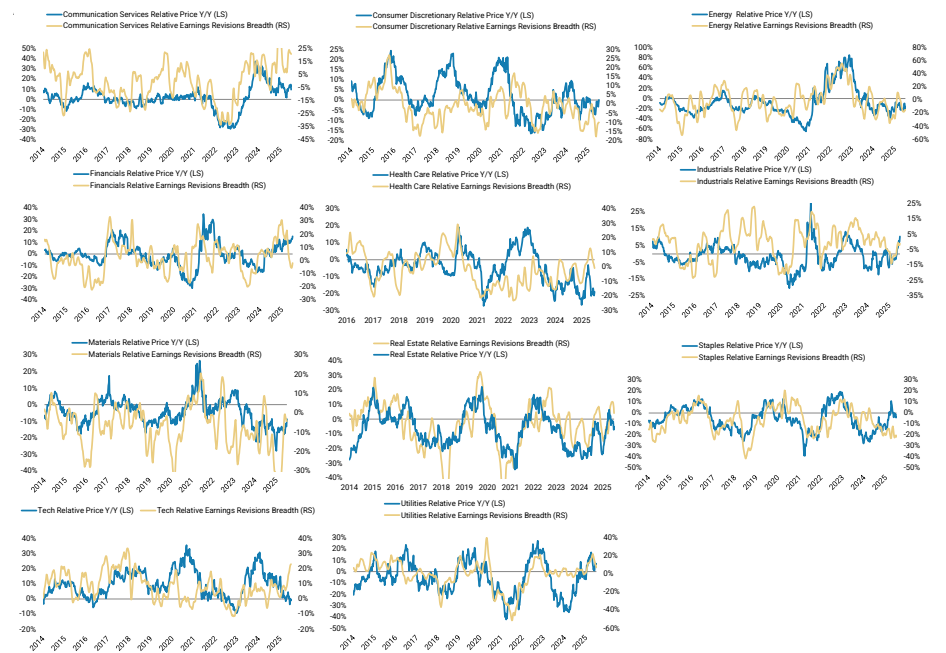
Source: Bloomberg, Morgan Stanley Research. As of July 17, 2025

Exhibit 17: US Small Cap Equities

Source: FactSet, Morgan Stanley Research. As of July 17, 2025

Exhibit 18: Earnings Revisions Breadth

Source: FactSet, Morgan Stanley Research

Exhibit 19: Earnings Revisions Breadth vs YoY Performance

Source: FactSet, Morgan Stanley Research.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1497	40%	372	45%	25%	702	41%
Equal-weight/Hold	1632	44%	380	46%	23%	776	45%
Not-Rated/Hold	4	0%	0	0%	0%	2	0%
Underweight/Sell	593	16%	79	10%	13%	233	14%
Total	3,726		831			1713	

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